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MAY/JUNE 2015

**CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®**

MANAGEMENT OF BUSINESS

UNIT 2 – Paper 02

2 hours 30 minutes

28 MAY 2015 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of THREE sections: A, B and C.
2. Each section consists of TWO questions.
3. Candidates MUST answer ONE question from EACH section.
4. Begin EACH question on a separate page.
5. Each question is worth 25 marks.

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02233020/CAPE 2015



SECTION A

MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

1. Unique Uniforms Ltd (UUL) supplies uniforms to banks in the country. They use the same sky blue satin gabardine fabric in the manufacture of most uniforms. Alex Alps, general manager of UUL, has adopted the economic order quantity (EOQ) instead of the just-in-time inventory management method.

(a) Define EACH of the following terms:

- | | |
|-----------------------------|-----------|
| (i) Economic order quantity | [2 marks] |
| (ii) Just-in-time | [2 marks] |
| (iii) Inventory management | [2 marks] |

The following are inventory management data for UUL:

Ordering cost = USD\$350.00
Holding cost = USD\$700.00
Annual demand = 3 000 metres of fabric

- (b) (i) State the formula for calculating economic order quantity. [1 mark]
- (ii) Calculate the economic order quantity for the sky blue gabardine fabric used by Unique Uniforms Ltd. [6 marks]
- (c) Discuss THREE ways in which Unique Uniforms Ltd can benefit from having a proper inventory management system. [12 marks]

Total 25 marks

2. Quality Homes constructs and repairs residential and commercial buildings. Because of the heavy competition in the construction industry, the senior management team wants to pay attention to quality in all areas of the business to ensure that the company remains profitable and increases its market share. The company has applied for certification from the International Standards Organization (ISO).

- (a) Distinguish between 'quality control' and 'quality assurance'. [4 marks]
- (b) Explain THREE ways in which Quality Homes can benefit from ISO certification. [9 marks]
- (c) Discuss THREE dimensions of quality with which Quality Homes must comply in order to make the claim that it has produced superior buildings. [12 marks]

Total 25 marks

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SECTION B

MODULE 2: FUNDAMENTALS OF MARKETING

Answer ONE question from this section.

3. Ms Healthy is the owner of Lifestyle Juices Enterprise which manufactures natural juices. She is contemplating conducting a marketing research project to determine whether her new product 'Tango Root' would do well on the market.

- (a) (i) Define the term 'marketing research'. **[3 marks]**
- (ii) State TWO limitations of marketing research. **[2 marks]**
- (b) Outline TWO advantages and TWO disadvantages that Lifestyle Juices Enterprise would experience if it adopts a 'competition pricing' strategy for its new product, 'Tango Root'. **[8 marks]**
- (c) Discuss THREE ways in which marketing research may be beneficial to the firm in deciding whether or not its new product, 'Tango Root', would be successful on the market. **[12 marks]**

Total 25 marks

4. Mr Beddy, owner of Creative Furniture Enterprise, recently attended a marketing seminar and has noted the following key concepts which he believes would be useful if applied in his business:

- Branding
- Niche marketing
- Internet marketing
- Indirect channel

- (a) (i) Define the term 'branding'. **[3 marks]**
- (ii) State TWO benefits of niche marketing to Creative Furniture Enterprise. **[2 marks]**
- (b) Outline TWO possible opportunities and TWO possible challenges that Mr Beddy could face if he decides to use Internet marketing as a means of promoting his products. **[8 marks]**
- (c) Discuss THREE possible benefits that Mr Beddy would enjoy if he uses an indirect channel for the distribution of his products. **[12 marks]**

Total 25 marks

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SECTION C

MODULE 3: SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

5. H2O Purified Drinking Water sells 10 000 bottles of 500 ml water each month. The owners, Patsy (a computer programmer) and Pete (an engineer), manage and operate all aspects of the business. The government of the country where they live has classified H2O Purified Drinking Water as a small business.
- (a) Outline TWO established criteria that governments use to measure the size of businesses. [4 marks]
 - (b) Explain THREE challenges that H2O is likely to face as a small business. [9 marks]
 - (c) Discuss THREE advantages that H2O will enjoy as a small business. [12 marks]
- Total 25 marks**
6. Joe and John have registered a partnership business called Live N Drive to sell new and used cars. The Live N Drive website advertises the products on sale and allows persons to view and choose the vehicle they like as well as make the required 10% deposit online. Joe and John expect that their e-commerce operations will increase their profitability.
- (a) Define EACH of the following terms:
 - (i) E-commerce [2 marks]
 - (ii) Partnership [2 marks]
 - (b) Explain THREE ways in which the e-commerce operations can contribute to increased sales at Live N Drive. [9 marks]
 - (c) Discuss THREE ways in which Live N Drive could expand its e-commerce business. [12 marks]

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.